

receive enough yield to pay off GICs, how can average investors expect to earn an even higher return, as they are being encouraged to attempt? The answer is that they cannot. The risk they take today in hopes of achieving a high yield is real, in fact greater than ever. It has been made to seem irrelevant by arguments that extrapolate past gains in speculative markets indefinitely into the future, but it is true nevertheless. These employees will rue the day they ever listened to the experts.

Today's pitifully uninformed investor, who insists he cannot abide anything less than a double-digit return on his investments, has proclaimed, "Give me yield...and give me death!" For the promise of a high yield, either by coupons or by capital gain, he has bought stocks, which will fall 90%, he has bought municipal and junk bonds, whose issuers will default, and he has bought second and third world stocks and bonds, the perceived value of which hardly in fact exists. To some degree, as some articles have reported, these are acts of desperation over declining CD yields, weak household finances and fear of future costs of college and retirement. Acts of desperation by the unknowledgeable usually result in far greater catastrophes than they thought they were facing before they acted.

"Fundamentals"

The biggest hook, always, is the so-called "fundamentals," or extramarket conditions, as will be discussed in Chapter 12. One reason why even discussing economics, politics and news is misleading to a proper investment decision is that there is enough of it to justify virtually any conclusion. That being the case, the decision about what news to focus upon typically becomes an emotionally-based one. As *The Elliott Wave Theorist* explained in 1983:

Part of the character of a fifth wave of any degree is the occurrence of psychological denial on a mass scale. In other words, the fundamental problems are obvious and threatening to anyone who coldly analyzes the situation, but the average person chooses to explain them away, ignore them, or even deny their existence. This fifth wave should be no exception, and will be built more on unfounded hopes than on soundly improving fundamentals such as the U.S. experienced in the 1950s and early 1960s. And since this fifth wave, wave V, is a fifth within a larger fifth, wave (V), the phenomenon should be magnified by the time the peak is reached. By that time, we should be hearing that the global debt